THE NATIONAL COMPANY LAW TRIBUNAL

CHANDIGARH BENCH (COURT-I), CHANDIGARH

CA (CAA) No. 43/Chd/PB/2024

(1st Motion)

Under Sections 230 to 232 of the Companies Act, 2013, the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION:

Chatha Financial Services Pvt Ltd
with its registered office at
273, 1st Floor, Mota Singh Nagar,
Jalandhar-144 001, Punjab
CIN: U65921PB1996PTC018712
PAN: AAACC9346G

...Applicant No. 1/Transferor Company

And

Chatha Financiers Pvt Ltd
with its registered office at
273, 1st Floor, Mota Singh Nagar,
Jalandhar-144 001, Punjab
CIN: U65921PB1993PTC013003
PAN: AAACC5830F

...Applicant No. 2/Transferee Company

Order delivered on: 20.03.2025

Coram : HON'BLE MR HARNAM SINGH THAKUR, MEMBER (JUDICIAL)

HON'BLE MR ASHISH VERMA, MEMBER (TECHNICAL)

PRESENT:

For the Applicant Companies: Mr Kartikeya Goel, Advocate

ORDER

Per: Mr. Harnam Singh Thakur, Member (Judicial)

Mr. Ashish Verma, Member (Technical)

1. This is a joint First Motion Application filed by Applicant Companies namely; **Chatha Financial Services Pvt Ltd** (for short hereinafter referred to as Applicant Company No. 1/Transferor Company) and **Chatha Financiers Pvt Ltd** (for short hereinafter referred to as Applicant Company No. 2/Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 (hereinafter referred to as the "Act") and other applicable provisions of the Act read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 (hereinafter referred to as the "Rules") the National Company Law Tribunal Rules, 2016 (hereinafter referred to as the "NCLT Rules"), and other applicable provisions, if any, in relation to the Scheme of Amalgamation (hereinafter referred to as the "Scheme") between the Applicant Companies. The said Scheme is attached as Annexure A-4 of the Application.

2. The Applicant Companies have prayed for dispensing with the requirement of convening meetings of Equity Shareholders and Unsecured Creditors of the Transferor Company and the Transferee

Company. The Transferor Company and the Transferee Company do not have any Secured Creditor.

3. The Applicant No.1 and 2 have their respective registered office in the State of Punjab. Hence, Applicant Companies are under the territorial jurisdiction of this Bench.

FACTS OF THE CASE

4. The facts of the case, as stated in the Application, are summarised below:

I. The Applicant No. 1/Transferor Company was originally incorporated on 3rd September, 1996, under the provisions of the Companies Act, 1956, as a public limited company with the name and style as 'Chatha Financial Services Ltd' vide Certificate of Incorporation issued by the Registrar of Companies, Punjab, Himachal Pradesh and Chandigarh, Jalandhar. The Company was issued Certificate for Commencement of Business dated 4th September, 1996 by the ROC, Punjab, Himachal Pradesh and Chandigarh, Jalandhar. The Company was converted into a private limited company and name of the Company was changed to 'Chatha Financial Services Pvt Ltd' vide Fresh Certificate of Incorporation dated 24th April, 2020, issued by the Registrar of Companies, Punjab, Chandigarh. The Applicant Company No. 1/Transferor Company is engaged in

securities investments and lending business and other related activities. The Transferor Company is a non-deposit accepting Non-Banking Financial Company (NBFC) registered with the Reserve Bank of India.

II. A copy of each of the Memorandum and Articles of Association of the Transferor Company and its 'Master Data' as available on the online portal of the Ministry of Corporate Affairs/the Registrar of Companies, have been enclosed as Annexure: A-1/1 with the application.

III. The detailed objects of the Transferor Company are set out in its Memorandum of Association and are briefly stated as below:

Main Objects:

1. *To Carry on the business of Hire Purchase, Leasing or General Finance and to provide on hire purchase or lease basis all types of industrial, commercial, consumable, or office plants, equipments, machinery, vehicles, buildings and real estate required for manufacturing processing, transportation or trading business or other commercial and service business.*

2. *To carry on the business of merchant banking in all its aspects to act as managers to issues and offers whether by way of public offer or otherwise, of shares, debentures, hundis units, participation certificates, deposits certificates, notes, bill warrants of any other instruments whether or not transferrable, commercial or other paper or scrips (hereinafter collectively referred to as the "securities". to act as agents of and/ or dealers in the securities, to act as financial consultants, joint capital markers, to underwrite, sub-underwrite or to provide standby or procurement arrangement, to issue guarantees or to give any other commitments for subscribing or agreeing to subscribe to act as member of stock exchange, or security exchange or as dealers sponsorors of market markers of shares and securities.*

3. *To carry on the business of an investment company and to carry on and undertake the business of portfolio investment in equity shares, preference shares, stocks, debentures (convertible and non- convertible), company deposits, Bill discounting, Corporate lending and to deal in Government Securities, including Government Bonds, Loans, National Saving Certificates, Post Office Saving Schemes, Units of Investments.*

4. *To carry on the business of Hedging, Money Changers, Foreign Exchange dealers, forex and financial consultants and to act as agents of Reserve Bank of India or other institutions.*

5. *To finance the industrial enterprises by way of lending and advancing money, machinery, land, building, shed or such other things as may be required by such Industrial enterprises either with or without security and upon such terms and conditions as the company may think fit and to guarantee or become sureties for the performance of any agreement or contract entered into by an industrial enterprises, with any financial institution, banks or other parties for obtaining finance whether for its long term capital, or for any deferred Payment finance.*

6. *To carry on the business of commission agents, brokers, factor, consultants, travel agents representative, middlemen, real estate importers and exporters.*

7. *To Carry on the business of trustee and to finance industrial organisations and to promote companies engaged in industrial and trading business.*

IV. The present Authorised Share Capital of the Transferor Company is ₹2,25,00,000 divided into 22,50,000 Equity Shares of ₹10 each. The Present Issued, Subscribed and Paid-up Capital of the Company is ₹1,99,81,000 divided into 19,98,100 Equity Shares of ₹10 each.

V. The Applicant No. 2/Transferee Company was incorporated on 28th January, 1993, under the provisions of the Companies Act, 1956, as a private limited company with the name and style as 'Chatha Financiers Pvt Ltd' vide Certificate of Incorporation issued by the Registrar of Companies, Punjab, Himachal Pradesh and Chandigarh, Jalandhar. The Company was converted into a public limited company and name of the Company was changed to 'Chatha Financiers Ltd' with effect from 29th September, 1994, and

necessary endorsement to this effect was made by the Registrar of Companies on the Certificate of Incorporation. The Company was converted into a private limited company and name of the Company was changed to 'Chatha Financiers Private Limited' vide Fresh Certificate of Incorporation dated 3rd April, 2020 issued by the Registrar of Companies, Punjab and Chandigarh. The Applicant Company No. 2/Transferee Company is engaged in securities investments and lending business and other related activities. The Transferee Company is a non-deposit accepting Non-Banking Financial Company (NBFC) registered with the Reserve Bank of India.

VI. A copy of each of the Memorandum and Articles of Association of the Transferee Company and its 'Master Data' as available on the online portal of the Ministry of Corporate Affairs/the Registrar of Companies have been enclosed as Annexure: A-2/1 with the application.

VII. The detailed objects of the Transferee Company are set out in the enclosed Memorandum of Association and are briefly stated as below:

Main Objects:

1. *To carry on India or elsewhere in all its branches, the business of hire purchase, trade, investments general finance, housing and industrial financing, discounting, banking, money lending, subject to directions of the Reserve Bank of India Issued in this behalf.*

2. *To purchases sell or hire out sell by instalments lease, or on hire purchase system, Van's Motor Cars, Buses, Trucks, I.C.V's, Tractors, Motorcycles, scooters, Moped Auto-Rick-haws cycles, Radios, Gramophones Tape recorders, Record players, Black & White/ Coloured T.V.s V.C.Ps, V.C.R.s, Pianoes, Musical instruments, Refrigerators, Softy machines, Deep Freezers, Air-conditi-ners, Coolers, Fans, Furniture (metalic & Wooden) Carpets, House hold Applications; Geysers, Washing machines, Computers, Sewing machines, Type-writers, photostat machines, Duplicating machines, Photo-graphic Equipment Generators, Hospitals Equipments, Agricultural Implements and all classes of Machinery, Components, spare parts or any other allied articles thereof.*

3. *To purchase, sell and deal in government promissory notes securities, corporation securities, shares and stocks.*

VIII. The present Authorised Share Capital of the Transferee Company is ₹2,25,00,000 divided into 22,50,000 Equity Shares of ₹10 each. The present Issued, Subscribed and Paid-up Share Capital of the Company is ₹1,99,48,600 divided into 19,94,860 Equity Shares of ₹10 each.

IX. The rationale of the Scheme is given below:

i. The Transferor Company and the Transferee Company are engaged in similar business activities. Both the Companies are Non-Banking Financial Company registered with the Reserve Bank of India. The proposed amalgamation of the Transferor Company with the Transferee Company would result in business synergies, consolidation and pooling of their resources into a single entity.

ii. The proposed Scheme of Amalgamation would result in pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity. Post Scheme, the Transferee Company will enjoy large net worth and financial resources which are critical for any NBFC.

iii. The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resource and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

iv. The amalgamation will result in significant reduction in multiplicity of legal and regulatory compliances which at present is required to be made separately by the Transferor Company and the Transferee Company.

v. As mentioned above, both the Companies are RBI Registered NBFCs under common management and control. Consolidation of both the Companies by way of Amalgamation of the Transferor Company into the Transferee Company will be in sync with the RBI Policy of discouraging multiple NBFCs in one Group.

vi. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

vii. The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

X. The Board of Directors of the Transferor Company and the Transferee Company in their respective meetings held on 5th October, 2024 considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Tribunal. The copies of the Board Resolutions of the Applicant Companies No. 1 & 2 are attached as Annexure: A-1/5 at Page 143 to 146 and A-2/5; Page 310 to 313, respectively, with the Application.

XI. The appointed date of the Scheme for the purpose of the Amalgamation shall be with effect from 1st April, 2024 as mentioned in Clause 1.1.4 of Scheme of Amalgamation which is attached as Annexure: A-4 of the application.

XII. The Transferor Company and the Transferee Company have filed their Audited Financial Statements for the year ended 31st March, 2024 which are attached as Annexure A-1/2 & A-2/2, respectively, with the application. The Transferor Company and the Transferee Company have also filed their Un-audited Financial Statements (provisional) for the period ended 30th June, 2024 which are attached as Annexure A-1/3 & A-2/3 with the application.

XIII. As per the information available with the Transferee Company as on the date of this Application, no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956, or under any other law for the time

being in force is pending against the Transferee Company. Further, no material legal proceeding is pending against the Applicant Company.

XIV. No corporate debt restructuring is envisaged in the proposed Scheme of Amalgamation.

XV. Under the Scheme, no compromise is being proposed with any Secured or Unsecured Creditors of the Transferor Company and the Transferee Company. The proposed Scheme is not prejudicial to any Secured or Unsecured Creditors of the Transferor Company and the Transferee Company.

XVI. The proposed Scheme of Amalgamation will not adversely affect the rights of any of the creditors of the Transferor Company and the Transferee Company. Post-Scheme assets of the Transferee Company will be sufficient to meet all the liabilities in ordinary course of business.

XVII. The proposed Scheme of Amalgamation does not envisage any buy back of shares. There is no proposal for reduction of share capital except to the extent of cancellation of cross holding of shares between the Transferor Company and the Transferee Company, if any.

XVIII. None of the Transferor Company or the Transferee Company has accepted any Public Deposit or issued any Debenture as on the date of this Application.

XIX. In pursuance of the proviso to Section 230(7) and Section 232(3) of the Act, Transferor Company and the Transferee Company have filed certificates dated 08.10.2024, issued by their respective Statutory Auditors certifying that the Scheme is in compliance with the Accounting Standards under Section 133 of the Act and the same are attached as Annexure: A-5 with the application.

XX. As per Valuation Report/Share Entitlement Ratio Report dated 27.09.2024 submitted by Ms Mallika Goel, Registered Valuer in respect of Securities or Financial Assets, registered with the Insolvency and Bankruptcy Board of India (IBBI) is attached as Annexure A-3 of the application. The Share Entitlement Ratio is given below:

Share Exchange Ratio:

- The Transferee Company-Chatha Financiers Pvt Ltd will issue 104 (one hundred and four) Equity Shares of ₹10 each, credited as fully paid-up, to the Equity Shareholders of the Transferor Company for every 100 (one hundred) Equity Shares of ₹10 each held in the Transferor Company-Chatha Financial Services Pvt Ltd.

Any fraction arising out of the aforesaid process, if any, will be rounded off to the nearest whole number.

XXI. The said Scheme of Amalgamation, inter alia, provides as under:

i. All assets and liabilities including Income Tax and all other statutory liabilities, if any, of the Transferor Company will be transferred to and vest in the Transferee Company.

ii. All the employees of the Transferor Company in service on the Effective Date, shall become employees of the Transferee Company on such date without any break or interruption in their service and upon terms and conditions not less favourable than those applicable to them in the Transferor Company on the Effective Date.

iii. Appointed Date for the Scheme will be 1st April, 2024, or such other date as may be mutually decided by the Board of Directors of the Transferor Company and the Transferee Company with the approval of the Hon'ble National Company Law Tribunal, or such other date as the Hon'ble National Company Law Tribunal, or any other competent authority may approve.

iv. The Share Exchange Ratio for Demerger will be as mentioned above.

XXII. The Scheme also takes care of the interest of the staff/workers and employees of the Applicant Companies by virtue of Clause 9 of the Scheme.

XXIII. No Director or Key Managerial Personnel of the Transferor Company and the Transferee Company has any material and/or adverse interests in the proposed Scheme of Amalgamation save and except as such Director, Key Managerial Personnel (KMP) or Shareholder.

XXIV. The proposed Scheme is for the benefit of both the Companies, their Shareholders and other stakeholders.

XXV. The proposed Scheme is fair and reasonable and is not detrimental to the interest of the public. It is not prejudicial to any person.

XXVI. The proposed Scheme does not attract the provisions of the Competition Act, 2002. Hence, no intimation to or approval from the Competition Commission of India is required for the present Scheme in terms of the provisions of the Competition Act, 2022, the Competition Commission of India (Procedure in regard to the transaction of business relating to combinations) Regulations, 2011, Rules, Regulations and Notifications issued thereunder and other applicable provisions, if any. Certificate of the Statutory Auditor of the Applicant Companies giving relevant details and confirming that the proposed Scheme does not attract the provisions of the Competition Act, 2002, is enclosed as Annexure: A-6 of the application.

XXVII. None of the Transferor Company and the Transferee Company is regulated or governed by the Securities and Exchange Board of India (SEBI), the Competition Commission of India (CCI) or any other Sectoral Regulator or Regulatory Authority. Hence, notice of this Application is not required to be served on the SEBI, the CCI or any other Sectoral Regulator or Regulatory Authority.

XXVIII. The Transferor Company and the Transferee Company are non-deposit accepting Non-Banking Financial Companies

registered with the Reserve Bank of India. Both the Companies are closely held un-listed private limited Group Companies under common management and control.

XXIX. This Tribunal vide Order dated 03.01.2025 directed the Applicant Companies to file Affidavits giving detail of legal proceedings pending against the Applicant Companies. The Applicant Companies have filed Affidavits vide diary no. 03950/1 dated 07.01.2025, and have deposed that there are no investigations or legal proceedings pending against any of the Applicant Companies under Section 210 to 227 of the Companies Act, 2013 and Section 235 to 251 of the Companies Act, 1956 or any other applicable law. Moreover, there are no proceedings pending under the Companies Act, 2013 before the jurisdictional Adjudicating Authority.

XXX. The Transferor Company is a closely held private limited company and has 15 (fifteen) Equity Shareholders. All the Equity Shareholders have given their Written Consents/NOCs by way of Affidavit for the proposed Scheme of Amalgamation. List of Equity Shareholders of the Company, duly certified by the Statutory Auditors, and their Consent Affidavits, in original, are enclosed as Annexure: A-1/6 of the application.

XXXI. As on 30th June, 2024, the Transferor Company does not have any Secured Creditor. Nil list of Secured Creditors, duly

certified by the Statutory Auditors, is enclosed as Annexure: A-1/7 of the application.

XXXII. As on 30th June, 2024, the Transferor Company has 10 (ten) Unsecured Creditors. All the Unsecured Creditors have given their Written Consents/NOC by way of Affidavit for the proposed Scheme. List of Unsecured Creditors, duly certified by the Statutory Auditors, and their Consent Affidavits, in original, are enclosed as Annexure: A-1/8 of the application.

XXXIII. In addition to the aforesaid Un-secured Creditors, as on 30th June, 2024, the Transferor Company had some "Statutory Dues & Provisions" which have either been paid in full since then or being provision in nature, are not due for payment as on the date of this Application. List of "Statutory Dues & Provisions" giving relevant details and payment status, duly certified by the Statutory Auditors, is enclosed as Annexure: A-1/9 of the application.

XXXIV. The Transferor Company has also prepared a Reconciliation Statement of the Liabilities Side of its Un-audited Balance Sheet as at 30th June, 2024 vis-à-vis the lists of Shareholders, Secured Creditors, Unsecured Creditors and Statutory Dues & Provisions, for the convenience of this Tribunal. Reconciliation Statement, duly certified by the Statutory Auditors, is enclosed as Annexure: A-1/10 of the application.

XXXV. As per the information available with the Transferor Company as on the date of this Application, no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956, or under any other law for the time being in force is pending against the Transferor Company. Further, no material legal proceeding is pending against the Applicant Company.

XXXVI. The Transferee Company is a closely held private limited company and has 14 (fourteen) Equity Shareholders. All the Equity Shareholders have given their Written Consents/NOC by way of Affidavit for the proposed Scheme of Amalgamation. List of Shareholders of the Transferee Company, duly certified by the Statutory Auditors, and their Consent Affidavits, in original, are enclosed as Annexure: A-2/6 of the application.

XXXVII. As on 30th June, 2024, the Transferee Company does not have any Secured Creditor. Nil list of Secured Creditors, duly certified by the Statutory Auditors, is enclosed as Annexure: A-2/7 of the application.

XXXVIII. As on 30th June, 2024, the Transferee Company has 9 (nine) Unsecured Creditors for a total value of ₹34,11,823. Out of total 9 Unsecured Creditors of the Company, 8 (eight) Unsecured Creditors for an aggregate amount of ₹34,10,323 and constituting 99.96% of the total value of the Unsecured

Creditors of the Company, have given their Written Consents/NOC by way of Affidavit for the proposed Scheme of Amalgamation. List of Unsecured Creditors, duly certified by the Statutory Auditors, and their Consent Affidavits, in original, are enclosed as Annexure: A-2/8 of the application.

XXXIX. In addition to the aforesaid Unsecured Creditors, as on 30th June, 2024, the Transferee Company had some "Statutory Dues & Provisions" which have either been paid in full since then or being provision in nature, are not due for payment as on the date of this Application. List of "Statutory Dues & Provisions" giving relevant details and payment status, duly certified by the Statutory Auditors, is as Annexure: A-2/9 of the application.

XL. The Transferee Company has also prepared a Reconciliation Statement of the Liabilities Side of its Un-audited Balance Sheet as at 30th June, 2024 vis-à-vis the lists of Shareholders, Secured Creditors, Un-secured Creditors and Statutory Dues & Provisions, for the convenience of this Tribunal. Reconciliation Statement, duly certified by the Statutory Auditors, is enclosed as Annexure: A-2/10 of the application.

5. The Applicant Companies have furnished the details of the Equity Shareholders, Secured Creditors and Unsecured Creditors as follows:

Transferor Company:

Particulars	**Total No.**	**Consent Affidavits Obtained**
Equity Shareholders	**15**	**All**
Secured Creditors	**Nil**	**N.A.**
Un-secured Creditors[1]	**10**	**All**

Transferee Company:

Particulars	**Total**		**Consent Affidavits Obtained**		
	No.	**Value**	**No.**	**Value**	**% of Total Value**
Equity Shareholders	**14**	19,94,860 Equity Shares	**All**		
Secured Creditors	**Nil**	Nil	**N.A.**		
Un-secured Creditors[1]	**9**	₹34,11,823	8	₹34,10,323	99.96 %

[1] *In addition to the aforesaid Un-secured Creditors, the Transferor Company and the Transferee Company had some 'Statutory Dues & Provisions' which have either been paid in full or being provision in nature, are not due for payment. Certificate from the Chartered Accountants confirming the same is enclosed.*

6. Accordingly, the directions of this Bench in the present case are as under:

I. Since this is the first motion application seeking order for dispensation/ convening of the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies, the analysis has been limited to that and other

issues would be analysed at the time of the Second Motion Company Petition of the Applicant Companies.

II. **In relation to Transferor Company**:

a. The meeting of the Equity Shareholders of Transferor Company is dispensed herewith, keeping in view that all the Equity Shareholders have given their consents by way of affidavits;

b. Since, there are no Secured Creditors in the Transferor Company, the requirement of convening the meeting of Secured Creditors does not arise;

c. The meeting of the Unsecured Creditors of the Transferor Company is dispensed herewith, keeping in view that all the Unsecured Creditors have given their consents by way of affidavits.

III. **In relation to Transferee Company**:

a. The meeting of the Equity Shareholders of Transferee Company is dispensed herewith, keeping in view that all the Shareholders have given their consents by way of affidavits;

b. Since, there are no Secured Creditors in the Transferee Company, the requirement of convening the meeting of Secured Creditors does not arise;

c. The meeting of the Unsecured Creditors of the Transferee Company is dispensed herewith, keeping in view that 99.96% Unsecured Creditors in value, have given their consents by way of affidavits.

7. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition with a direction that the Applicant Companies shall make specific prayer for sending notices to (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Punjab, Chandigarh; (c) the Official Liquidator, Chandigarh; (d) the Reserve Bank of India, Chandigarh; and (e) the Income Tax Department by disclosing the PAN of both the Applicant Companies in the title of the Second Motion Petition.

Sd/-
(Ashish Verma)
Member (Technical)

Sd/-
(Harnam Singh Thakur)
Member (Judicial)

March 20, 2025
Reet